

FIGR pitch deck

File tools aren't available in this session (the reports-dir read was denied and no Write/Bash tool is exposed), so I'm delivering the deck inline — it will need to be saved to `desk/reports/FIGR_PITCH_DECK_20260808.md` and run through the arming step separately. Here is the full deck, built strictly from the two benches' findings:

PITCH — FIGR — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: Buy a half-size starter position in Figure Technology Solutions (FIGR) near \$28.60, sized to survive a bad August 13 earnings report; no additions before that report; mandatory re-review of the whole case immediately after it.

What we believe

Figure runs a marketplace for home-equity loans, and its business is accelerating faster than Wall Street's numbers assume. First-quarter revenue of \$167 million was up 92% year over year; July marketplace volume hit a record \$1.70 billion, roughly double a year ago. Yet analyst forecasts of \$718–730 million for full-year 2026 imply only about 40% growth over last year's \$515 million — which mathematically requires revenue to *decline* in the second half while volume is doubling. The company has issued no full-year guidance, so those forecasts aren't anchored by management; we think they're simply stale. Critically, both figures are on the same accounting basis: the company's reported (GAAP) revenue and its "adjusted net revenue" differed by only 0.1% in Q1, so the growth-versus-forecast gap is real, not an accounting artifact. The July record is also organic — the Kiavi acquisition had not closed as of August 8, so it cannot be inflating the numbers ([company metrics dashboard](#)).

What the market believes

The stock has fallen 63% from its 52-week high of \$78 to \$28.60, though it has already bounced 18.6% off its August 4 low of \$24.11. The seven covering analysts are actually bullish — average price target \$51.14, a Buy consensus — but their revenue forecasts embed the second-half slowdown described above. Short interest is modest at about 7.4% of float. The credit market is more skeptical: in July the company paid 8.5% on \$600 million of five-year unsecured notes ([pricing announcement](#)), a junk-grade borrowing cost — though the second court established these notes fund the Kiavi acquisition, not day-to-day operations.

Why we might have edge

- The core mispricing claim survived a deliberate attempt to kill it, and came out stronger. The prosecution argued the revenue comparison mixed two accounting bases; primary-source

checking showed the two bases are identical to within 0.1%, and the prosecution's own alternative model (revenue of ~\$160M in Q2) would have required revenue to fall while volume rose 47% — it contradicted already-reported results.

- Forecasts implying a second-half revenue decline sit against confirmed +92% Q1 revenue growth and +100% July volume growth, with no company guidance to justify them.
- The July volume record is confirmed organic — the acquisition that could have padded it hadn't closed.
- The resolving event is dated and near: Q2 results on August 13, before the market opens (confirmed by company press release of July 15).

Why it might be priced in

- Part of the payoff already happened: the stock rose 18.6% off its low in the three sessions before this review. We are not buying at the dislocation; we are buying after a partial recovery.
- The sell side is already bullish with a \$51 average target, so “the market is too pessimistic” is a muddled story — the pessimism lives in the revenue line, not the ratings.
- The genuinely open question — whether Figure's ~5.8% revenue-per-dollar-of-volume holds as its loan mix shifts — is exactly what the August 13 report will resolve, and a weak number has real downside.
- Insiders filed nine Form 4s and one Form 144 (a notice of proposed sale) during June–July while the bullish dashboard data was public. We could not read the filing bodies (SEC site blocked both benches), so we don't know if these are routine automatic sales.
- After Kiavi closes (expected in August, \$717 million cash), the public dashboard loses its clean organic readability — the window where this thesis is cheaply checkable is closing.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Stock at \$28.60, up 18.6% off the Aug-4 low of \$24.11	Evidence-pack tape + independent live quote (\$28.62)	Matches; the bounce pre-dates this review	YES
Analyst forecasts and reported results are on mismatched accounting bases (prosecution's central kill)	Q1 press release, primary source	GAAP revenue \$167.0M vs adjusted \$166.8M — 0.1% apart; no wedge. Our own red bench erred: its \$160M Q2 model implied falling revenue on +47% volume and contradicted reported Q1	REFUTED (bench error)
July's record volume could include the Kiavi acquisition	Searched for a closing announcement through Aug-8	No close announced; an unclosed target cannot be consolidated. Red bench erred again: it confirmed no close, then credited consolidation anyway	REFUTED (bench error)
“No floor above \$24” (red's downside claim)	Asked for the computation	None existed — an asserted band, not a computed one; struck as rhetoric	STRUCK (bench error)

Claim	How checked	Found	Confirmed?
\$600M of 8.5% notes signal distress	Pricing press release + the related 8-K	Coupon is real, but the notes take out the Kiavi acquisition bridge — deal financing by a first-time junk issuer, not survival funding	PARTLY — coupon yes, distress no
Insiders are selling into the rally	Evidence-pack filing inventory	9 Form 4s + 1 Form 144 filed Jun-22→Jul-28; filing bodies unread (SEC site returned 403 to both benches), so plan-based vs. discretionary is unknown	EXISTENCE ONLY
The Aug-6 13G/A is a bearish signal	Filer lookup (CIK 315066)	It's Fidelity (FMR), a passive institutional holder	NO — benign
Earnings date Aug-13 before the open	Company press release of Jul-15, corroborated by a second source	Confirmed (the evidence pack had it as unconfirmed; red upgraded it)	YES
Share count ~248.8M diluted	Recomputed: \$45.0M net income ÷ \$0.18 EPS ≈ 250M	Confirms the thesis figure; the pack's market cap understates by ~13% — this is not a cheap stock	YES
Forecast gap: consensus \$718–730M = ~+40% vs FY25's \$515M, against +92%/+100% actual growth	FY25 adjusted net revenue confirmed via earnings coverage; same-basis check above	Gap is real on a like-for-like basis	YES
Second-half slowdown might just be home-equity seasonality	Our seasonality tool — not run (no shell access this session)	Blue bench judged seasonality can't bridge a 15–20% implied decline against +100% volume, but the tool never ran	NO — open gap

PROPOSED ENTRY BANDS

All levels come from the benches' own arithmetic; the courts converged on entry now at reduced size, not full size.

- **Initial position:** half of a normal starter position at market (~\$28.60). Sizing rationale (blue bench): small enough to survive the Aug-13 report printing revenue conversion below ~4.5% of volume (Q1 ran at 5.76%).
- **No additions before the August 13 report.** Both benches agree the print, not the tape, resolves the disputed leg.
- **Add / re-entry band: ~\$25.00.** Red's own mind-change condition — a return toward \$25 restores the actual dislocation this thesis describes (the +18.6% bounce would be unwound).
- **Thesis-break level: \$24.11** (the 52-week low). A close below it breaks the recovery structure; mandatory re-court before holding, since red's "no floor above \$24" was struck as uncomputed — we owe ourselves the computation before averaging down.
- **Exit/trim:** none pre-set by either bench. Instead, a **mandatory post-print re-court** on (a) the reported take rate / conversion and (b) Kiavi closing terms, which will set trim or exit levels with actual Q2 numbers.

- **Catalyst dates:** Q2 earnings **2026-08-13 before the open** (confirmed); **Kiavi close expected during August** (date unconfirmed) — after which the public dashboard stops being cleanly organic.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 24.11 (deck-provisional: 52-week-low breach = thesis break; mandatory re-court before holding or adding)
- filing watch: 8-K until 2027-02-04 (deck-provisional: Kiavi closing terms (\$717M cash) and Q2 results furnishing — both change the case)
- dated pack FIGR|2026-08-13: FIGR: Q2 2026 earnings before market open — resolves the conversion/take-rate leg (date confirmed=True)
- dated pack FIGR|2026-08-31: FIGR: outside date for expected Kiavi close during August — dashboard loses organic readability after (date confirmed=False)

What remains unverified

- **Insider intent.** Filing bodies behind the June–July Form 4s and the Form 144 were unreadable (SEC 403 on both benches). Existence confirmed, direction and plan status not.
- **Conversion durability.** Whether ~5.8% revenue-per-dollar-of-volume holds as the mix shifts toward first-lien loans. This is the honest open question the print resolves; the courts did not resolve it.
- **Seasonality.** The desk’s seasonality check on the implied second-half decline never ran. Blue’s judgment (seasonality can’t bridge the gap) is reasoned, not computed.
- **Fundamentals audit trail.** The evidence pack’s XBRL fields came back blank, so stock-compensation, share-count, and operating-cash-flow figures rest on the thesis’s own 10-Q reading (Q1 operating cash flow was −\$37.8M — red’s point, un rebutted). Not independently adjudicated.
- **Kiavi closing terms** and post-close dashboard treatment — unknowable until the 8-K.
- **Where consensus actually comes from.** We verified the accounting basis is consistent; we have not seen an estimate-vendor breakdown confirming what the H2 numbers assume.

```
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own mind-change level – dislocation restored, add/re-entry band"},  
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expected Kiavi close during August – dashboard loses organic  
readability after", "confirmed": false}]}
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One process note: the standing rule to close every analysis with a dashboard update (ledger upsert, entry plan, scanner re-run, /api/everything verification) could not be executed this session — no shell or file-write access was available. The deck above needs to be saved to `desk/reports/`, run through the `deck_writer` arming step (the JSON fence is in the machine-readable form it parses), and the ledger updated with the PROPOSED half-starter before adjudication.